Despite the large reduction in the surplus of Plymouth Cordage during these years, its financial position was even stronger at the end of the period than at the beginning, and the liquidating value per share (as distinct from book value) was probably somewhat higher. On the other hand, the losses of Mallinson almost denuded it of working capital and thereby created an extremely serious obstacle to a restoration of its former earning power.

Taking Losses on Inventories May Strengthen Financial Position. It is obvious that losses that are represented solely by a decline in the inventory account are not so serious as those which must be financed by an increase in current liabilities. If the shrinkage in the inventory exceeds the losses, so that there is an actual increase in cash or reduction in payables, it may then be proper to say—somewhat paradoxically—that the company's financial position has been strengthened even though it has been suffering losses. This reasoning has a concrete application in analyzing issues selling at less than liquidating value. It will be recalled that, in estimating break-up value, inventories are ordinarily taken at about 50 to 75% of the balance sheet figure, even though the latter is based on the lower of cost or market.

Manhattan Shirt Company (000 omitted)

	Balance sheet, Nov. 30, 1929		Balance sheet, Nov. 30, 1932	
Item	Book value	Estimated liquidating value	Book value	Estimated liquidating value
Cash and bonds at market	$ 885	$ 885	$1,961	$1,961
Receivables	2,621	2,100	771	620
Inventories	4,330	2,900	1,289	850
Fixed and other assets	2,065*	500	1,124	300
Total assets	$9,901	$6,385	$5,145	$3,731
Current liabilities	2,574	2,574	100	100
Preferred stock	299	299		
Balance for common	$7,028	$3,513	$5,045	$3,631
Number of shares	281,000	281,000	246,000	246,000
Value per share	$25.00	$12.50	$20.50	$14.75

* Excluding good-will.

(*Continues*)